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Case Number: 25STCV16965 Hearing Date: June 26, 2026 Dept: 511

Tentative Ruling

Judge Upinder S.

Kalra, Department 511

HEARING DATE: June

26, 2026

CASE NAME: A.

Alan Cade, et al. v. Wells Fargo & Co., et al.

CASE NO.: 25STCV16965

DEMURRER

TO SECOND AMENDED COMPLAINT

MOVING PARTY: Defendants

Clear Recon Corp. and Aldridge Pite, LLP; Wells Fargo Bank, N.A.; and Jeffrey

M. Sneed and Laura Sneed

RESPONDING PARTY(S): Plaintiffs A. Alan Cade and

Sherry Hackney Cade

REQUESTED RELIEF:

1. Clear

Recon Cop. & Aldridge Pite, LLC: Demurrer to the first, second, third, fourth, eighth, tenth, and eleventh causes of action for failing to state

sufficient facts to constitute a cause of action;

2. Wells

Fargo Bank, N.A.: Demurrer to the first, second, third, fourth, fifth, sixth, seventh, eighth, tenth, and eleventh causes of action for failing to state sufficient facts to constitute a cause of action;

3. Jeffrey

M. Sneed & Laura Sneed: Demurrer to the first, second, third, ninth, tenth, and eleventh causes of action for failing to state sufficient facts to constitute a cause of action.

TENTATIVE RULING:

1. Demurrers

to the first, second, third, fifth, seventh, eighth, ninth, tenth, and eleventh causes of action are SUSTAINED.

2. Demurrers

to the fourth and sixth causes of action are OVERRULED;

3. Plaintiffs

to file their FINAL amended complaint within 21 days of this ruling.

STATEMENT OF MATERIAL FACTS AND/OR PROCEEDINGS:

On June 12, 2025, Plaintiffs A. Alan Cade and Sherry Hackney Cade (Plaintiffs) filed a Complaint against Defendants Wells Fargo & Co., Wells Fargo Bank, National Association, Clear Recon Corp., Jeffrey M. Sneed, and Laura Sneed (Defendants) with nine causes of action for: (1) Wrongful Foreclosure; (2) Negligence; (3) Unconscionable Contract; (4) Cancellation of a Void or Voidable Instrument; (5) Quiet Title; (6) Declaratory Relief; (7) Injunctive Relief; (8) False Promise; and (9) Intentional Infliction of Emotional Distress. This matter concerns an alleged wrongful foreclosure on a second deed of trust for property located at 582 Meadow Grove Street in La Canada Flintridge (the Property).

On June 27, 2025, Plaintiffs filed a Notice of Related Cases with Los Angeles Sup. Ct. Case No. 25PUD01365, unlawful detainer matter, filed May 22, 2025, entitled Sneed v. Cade, et

al., which the court GRANTED.

On September 29, 2025, Plaintiffs filed the operative First Amended Complaint (FAC) with the same causes of action.

On September 29, 2025, Plaintiffs filed a Request for Dismissal as to Defendant Wells Fargo & Co. only. Plaintiffs also filed a fictitious name amendment changing Aldridge Pite LLP for DOE 10.

On September 30, 2025, Plaintiffs filed a Request for Dismissal of the Ninth Cause of Action for Intentional Infliction of Emotional Distress against all Defendants (with prejudice as to Laura Sneed only).

On October 1, 2025, Plaintiffs filed a Request for Dismissal of the Eighth Cause of Action for False Promise.

On October 28, 2025, Defendants Clear Recon Corp. and Aldridge Pite, LLP filed a demurrer to the FAC which the court SUSTAINED in full with leave to amend.

On March 19, 2026, Plaintiffs filed the operative Second Amended Complaint (SAC).

On April 15, 2026, Clear Recon Corp and Aldridge Pite, LLC (collectively Clear Recon) filed a demurrer to the SAC. On May 21, 2026, Wells Fargo filed a demurrer to the SAC. On May 28, 2026, the Sneeds filed a demurrer to the SAC. On June 15, 2026, Plaintiffs filed oppositions to all demurrers. On June 18, 2026, Defendant Wells Fargo filed a Reply.

LEGAL STANDARD:

Meet and Confer

Prior to filing a demurrer, the demurring party is required to satisfy their meet and confer obligations pursuant to Code of Civ. Proc. §430.41, and demonstrate that they so satisfied their meet and confer obligation by submitting a declaration pursuant to Code of Civ. Proc. §430.41(a)(2) & (3). Here, the Sneeds met and conferred on May 13, 2026 telephonically. (Declaration of Alex Swain ¶ 3.) Wells Fargo met and conferred on April 22, 2026. (Declaration of Owen Campbell ¶ 2.) Clear Recon provided no

meet and confer declaration. Still, failure to meet and confer is insufficient grounds to overrule or sustain a demurrer. (CCP § 430.41(a)(4).)

Demurrer

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) “A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action.” (Hahn (2007) 147 Cal.App.4th at 747.)

;

When considering demurrers, courts read the allegations liberally and in context, accepting the alleged facts as true. (Nolte v. Cedars-Sinai Medical Center (2015) 236 Cal.App.4th 1401, 1406.) Courts also consider exhibits attached to the complaint and incorporated by reference. (See Frantz v. Blackwell (1987) 189 Cal.App.3d 91, 94 (Frantz).)

ANALYSIS:

Request for Judicial Notice

The court GRANTS Defendants' request for judicial notice. (Evid. Code § 452(d), (h); See Kalnoki v. First American Trustee Servicing Solutions, LLC (2017) 8 Cal.App.5th 23,37.) However, the court only takes judicial notice of the foregoing documents only as to “the existence, content and authenticity of public records and other specified documents”; it does not take judicial notice of the truth of the factual matters asserted in those documents. (Dominguez v. Bonta (2022) 87 Cal. App. 5th 389, 400.)

First Cause of Action: Wrongful Foreclosure [All Defendants]

The Sneeds contend this claim fails because Plaintiffs did

not allege that they tendered the underlying indebtedness or that they had the ability to make such a tender or payment. They further contend that the underlying foreclosure process was proper and the ultimate sale was not void and they are bona fide purchasers for value.

Wells Fargo contends this claim fails because Plaintiffs' deed of trust authorizes MERS to assign the deed of trust so it was not void ab initio.[1]

They add that Plaintiffs' five reasons for an illegal assignment lack merit.[2]

Clear Recon adopts these same arguments in their demurrer.

Plaintiffs argue that they alleged a void sale since the assignment of the deed of trust divorced from the promissory note conveyed no interest which excused tender.[3]

They add

that these issues (including Mr. Sneed's bona fide purchaser status) cannot be resolved at the demurrer stage.

In reply, Wells Fargo contends Plaintiffs merely conclude the 2012 assignment of the deed of trust was void without alleging facts supporting a legally viable theory of voidness as required by *Yvanova* and its progeny. It argues Plaintiffs' challenges to MERS's authority, the alleged robo-signing, and purported technical defects in the assignment have all been repeatedly rejected as a matter of law. Accordingly, Wells Fargo contends the wrongful foreclosure claim, together with the derivative causes of action for quiet title, cancellation of instruments, declaratory relief, injunctive relief, and unfair competition, necessarily fail.

The necessary elements for wrongful foreclosure are: (1) the trustee or mortgagee caused an illegal, fraudulent, or willfully oppressive sale of real property pursuant to a power of sale in a mortgage or deed of trust; (2) the party attacking the sale was prejudiced or harmed; and (3) in cases where the trustor or mortgagor challenges the sale, the trustor or mortgagor tendered the amount of the secured indebtedness or was excused from tendering. (*Miles v. Deutsche Bank*

National Trust Co. (2015) 236 Cal.App.4th 394, 408; *Turner v. Seterus, Inc.* (2018) 27 Cal.App.5th 516, 525.) The third element is commonly known as "the tender rule" which requires a plaintiff to "allege tender of the full amount of the loan to maintain any cause of action" based on the wrongful foreclosure. (*Turner*, supra, 27 Cal. App.5th at p.

525.) However, this is when tender is required and not excused. (Ibid.) "The law does not require plaintiff to tender the purchase price to a trustee who has no right to sell the property at all." (Id. at p. 530.)

Plaintiffs do not allege tender of the indebtedness. Instead, they contend tender is excused because the foreclosure sale was void. "Unlike a voidable transaction, a void one cannot be ratified or validated by the parties to it even if they so desire." (Yvanova v. New Century Mortgage Corp. (2016) 62 Cal.4th 919, 936 (Yvanova).)

"[O]nly the entity holding the beneficial interest under the deed of trust—the original lender, its assignee, or an agent of one of these—may instruct the trustee to commence and complete a nonjudicial foreclosure." (Yvanova, *supra*, 62 Cal.4th at p. 935.) "If a purported assignment necessary to the chain by which the foreclosing entity claims that power is absolutely void, meaning of no legal force or effect whatsoever the foreclosing entity has acted without legal authority by pursuing a trustee's sale, and such an unauthorized sale constitutes a wrongful foreclosure." (Ibid. [internal citations omitted].)

While tender is excused where a plaintiff adequately alleges that the foreclosing entity lacked authority to conduct the sale, "the wrongful foreclosure plaintiff must do more than assert a lack of authority to foreclose"; rather, the plaintiff must allege facts demonstrating that "the defendant who invoked the power of sale was not the true beneficiary." (Yvanova, *supra*, 62 Cal.4th at p. 930 [internal quotations omitted].)

The SAC alleges four purported defects in the 2012 Assignment, none of which plausibly establish that the Assignment was void or that Wells Fargo lacked authority to foreclose.

First, Plaintiffs allege the Assignment was defective because it omitted the property's map book and page number. However, Plaintiffs cite no statute, contractual provision, or authority requiring such information in an assignment of deed of trust, and the Assignment otherwise identifies the deed of trust by recording information, instrument number, and trustors' names.

Second, Plaintiffs conclusorily allege the individual executing the Assignment lacked authority to act on behalf of MERS. No supporting facts are alleged, and California courts have repeatedly rejected allegations of unauthorized signatures or "robo-signing," without more, as rendering an assignment void.

Third, Plaintiffs contend the Assignment was ineffective because the underlying obligation was allegedly a nonnegotiable instrument requiring transfer by endorsement. Plaintiffs identify no authority imposing such a requirement, and Civil Code section 1459 does not mandate endorsement as the exclusive means of assignment. Moreover, the Deed of Trust itself, which is properly before the Court by judicial notice, nowhere identifies the underlying obligation as a "nonnegotiable instrument." Plaintiffs' characterization is therefore an unsupported legal conclusion rather than a well-pleaded factual allegation. Even assuming Civil Code section 1459 applied, Plaintiffs have not alleged facts demonstrating the Assignment failed to satisfy its requirements.

Fourth, Plaintiffs allege MERS lacked authority to assign the deed of trust. The allegation is contradicted by the Deed of Trust itself, which expressly designates MERS as nominee for the lender and grants MERS the right to exercise any or all of the lender's interests under the Deed of Trust, including the right to foreclose and sell the property. Although the Deed of Trust does not expressly state that MERS may "assign" the deed of trust, California courts have consistently held that language authorizing MERS to exercise the lender's interests includes the authority to execute assignments on the lender's behalf. Accordingly, Plaintiffs have failed to allege facts demonstrating that MERS lacked authority to execute the Assignment.

Plaintiffs likewise fail to allege facts sufficient to defeat the Sneed Defendants' status as bona fide purchasers.

A bona fide purchaser is one who acquires property for value without actual or constructive notice of another's competing interest or of any irregularity in the foreclosure proceedings. (*Melendrez v. D & I Investment, Inc.* (2005) 127 Cal.App.4th 1238, 1250.) Plaintiffs contend the Sneed Defendants are not bona fide purchasers because: (1) Mr. Sneed heard, or should have heard, an announcement at the foreclosure sale that Sherry Cade was in court seeking a stay of the sale (SAC, ¶ 37(a)); (2) the public record reflected a void assignment and a clouded chain of title (SAC, ¶ 37(b)); and (3) because Mr. Sneed is a licensed

real estate professional with foreclosure experience, he owed a heightened duty to investigate title and is charged with knowledge that a reasonable inquiry would have disclosed. (SAC, ¶ 37(c).)

None of these allegations is sufficient. First, the mere fact that a homeowner is seeking a stay of a foreclosure sale does not place a purchaser on notice that the homeowner possesses a valid competing ownership interest or that the foreclosure is legally defective. Second, because the court has concluded Plaintiffs have failed to allege a void assignment or other defect apparent from the recorded documents, the public record did not provide constructive notice of any competing ownership claim. Third, Plaintiffs cite no authority imposing a heightened duty of investigation upon experienced foreclosure purchasers or licensed real estate professionals. To the contrary, Melendrez expressly rejected such a distinction, holding that the statutory protections afforded bona fide purchasers under Civil Code section 2924 apply equally to "the novice and experienced foreclosure buyer alike." (Melendrez, supra, 127 Cal.App.4th at pp. 1253-1254.)

Plaintiffs' reliance on *Orcilla v. Big Sur, Inc.* (2016) 244 Cal.App.4th 982 is similarly misplaced. There, the Court held only that Civil Code section 2924's conclusive presumption in favor of bona fide purchasers did not bar an equitable claim alleging the underlying loan agreements were unconscionable and therefore unenforceable. (Id. at pp. 999-1000.) Here, Plaintiffs assert no comparable claim challenging the enforceability of the loan documents. Nor have they alleged facts demonstrating that the Sneed Defendants had actual or constructive notice of any alleged fraud or misconduct by the Wells Fargo Defendants. Accordingly, Plaintiffs have failed to allege facts sufficient to overcome the Sneed Defendants' status as bona fide purchasers.

Accordingly, the court SUSTAINS the demurrer to the first cause of action.

Second Cause of
Action: Quiet Title [All Defendants]

The Sneeds' arguments are the same here as above.

Wells Fargo contends this claim fails because the sale was not void, Plaintiffs did not tender the indebtedness amount, and Wells Fargo no

longer has an interest in the Property. Clear Recon raises the same contentions.

Plaintiffs' arguments here are the same as above as to the Sneeds. They did not address that Wells Fargo has no post-sale interest in the Property.

"Actions to quiet title proceed under chapter 4 of title 10 of part 2 of the Code of Civil Procedure." (Deutsche Bank National Trust Co. v. McGurk (2012) 206 Cal.App.4th 201, 210.)

Pursuant to CCP § 761.020, a complaint for quiet title must be verified and contain the following items:

"(a) A description of the property that is the subject of the action. In the case of tangible personal property, the description shall include its usual location. In the case of real property, the description shall include both its legal description and its street address or common designation, if any.

(b) The title of the plaintiff as to which a determination under this chapter is sought and the basis of the title. If the title is based upon adverse possession, the complaint shall allege the specific facts constituting the adverse possession.

(c) The adverse claims to the title of the plaintiff against which a determination is sought.

(d) The date as of which the determination is sought. If the determination is sought as of a date other than the date the complaint is filed, the complaint shall include a statement of the reasons why a determination as of that date is sought.

(e) A prayer for the determination of the title of the plaintiff against the adverse claims."

Here, Plaintiffs insufficiently stated their claim for quiet title. The court incorporates its discussion above on the void assignment. The court also notes that Plaintiffs insufficiently alleged that Wells Fargo or Clear Recon have adverse claims to the Property since Plaintiff specifically alleged that Defendant Jeffrey M. Sneed is now the purported title holder after the foreclosure sale. (SAC ¶ 80.)

Accordingly, the court SUSTAINS the demurrer to the second cause of action as to the Sneeds, Wells Fargo and Clear Recon.

Third Cause of
Action: Cancellation of Instrument [All Defendants]

The Sneeds' arguments are the same here as above.

Wells Fargo contends that this claim fails because the assignment was not void or voidable, it did not cause serious injury within the meaning of Civ. Code § 3412, and Plaintiffs have not met the tender requirement. Clear Recon raises the contention that the sale was not void.

Plaintiffs' arguments here are the same as above.

The necessary elements for cancellation of instrument are:

(1) a written instrument; (2) a reasonable apprehension that it may cause serious injury to someone; (3) as to whom it is void or voidable.¿ (Civ. Code., § 3412; see also Kroeker, supra, 38 Cal.App.2d at p. 266.)¿

The cancellation of instruments claim likewise fails. As discussed above, Plaintiffs have failed to allege facts demonstrating that the Assignment was void or voidable. Moreover, Civil Code section 3412 requires that the alleged instrument cause a reasonable apprehension of serious injury. Here, any alleged injury resulted from Plaintiffs' undisputed default on the loan, not from the Assignment itself. As the court explained in Saterbak v. JPMorgan Chase Bank, N.A. (2016) 245 Cal.App.4th 808, 818, where an assignment does not alter the borrower's payment obligations, it does not cause the requisite serious injury under section 3412.[4] Accordingly, Plaintiffs fail to state a claim for cancellation of instruments.

Accordingly, the court SUSTAINS
the demurrer to the third cause of action as to the Sneeds, Wells Fargo and
Clear Recon.

Fourth Cause of
Action: Fraudulent Concealment [Wells Fargo & Clear Recon]

Wells Fargo contends this claim fails because Wells Fargo
did not owe a duty of disclosure to Plaintiffs, Plaintiff did not allege
fraudulent intent, and did not allege reasonable reliance causing damages. They
also contend that the litigation privilege shields any statements Wells Fargo
made in the family law proceedings.

Clear Recon contends that this claim fails because Plaintiffs
alleged negligent, not intentional conduct and have otherwise alleged this
claim without underlying supporting facts.[5]

Plaintiffs argue that they plead exclusive knowledge of
material facts giving rise to a duty to disclose and the remaining issues on
reliance/causation are fact questions inappropriate for the demurrer stage.

In Reply, Wells Fargo argues Plaintiffs' opposition does not
address the specific pleading deficiencies of the fraud-based claims, but
instead relies on conclusory assertions that the elements of fraud have been
alleged, despite the heightened pleading requirements applicable to fraud.

To state a cause of action for fraudulent concealment, the
plaintiff must allege that: (1) the defendant concealed or suppressed a
material fact; (2) the defendant was under a duty to disclose the fact to the
plaintiff; (3) the defendant intentionally concealed or suppressed the fact
with the intent to defraud the plaintiff; (4) the plaintiff was unaware of the
fact and would not have acted as he did if he had known of the concealed or
suppressed fact; and (5) as a result of the concealment or suppression of the
fact, the plaintiff sustained damage. (Marketing
West, Inc. v. Sanyo Fisher (USA) Corp. (1992) 6 Cal.App.4th 603,
612-13.)

After reviewing the SAC, Plaintiff sufficiently stated a
claim for fraudulent concealment. First, Plaintiffs allege Wells Fargo

undertook to communicate regarding loss mitigation and loan modification and, in doing so, made partial representations while allegedly concealing material facts. (SAC ¶ 85.) At the pleading stage, those allegations are sufficient to invoke the duty to disclose applicable where a defendant makes partial representations that are misleading absent additional disclosure.[6] Whether this turns out to be true is not appropriately decided at the demurrer stage. The same goes for whether Plaintiff's reliance on the alleged misrepresentations concerning loan modification (refraining from pursuing private financing or commencing different legal action) prove reasonable. (SAC ¶¶ 46, 49.) In addition, contrary to Wells Fargo's argument, the SAC identifies the alleged concealed information, the persons involved, the approximate timeframe, and the manner in which the concealment allegedly occurred with sufficient specificity to satisfy the pleading requirements applicable to fraud. Finally, Plaintiffs alleged fraudulent intent at the time of the concealment by alleging that Aldridge Pite failed to forward the letter despite being Wells Fargo's authorized agent, Wells Fargo's preparation of the modification offer contradicted other representations, and Wells Fargo failed to produce the documents in order to defend their decision to foreclose.[7] (SAC ¶ 88.) Considering the SAC in whole and in context, this is sufficient for the pleadings stage.[8]

Accordingly, the court **OVERRULES** Moving Defendants' demurrer.

Fifth Cause of

Action: Negligent Misrepresentation [Wells Fargo]

Wells Fargo contends this claim fails to allege any element of the claim – especially an actionable misrepresentation. Instead, Plaintiffs allege future events constituting opinions.

Plaintiffs request leave to amend because the conduct overlaps with the intentional concealment claim.

The court accepts Plaintiffs concession and **SUSTAINS** the demurrer to the fifth cause of action.

Sixth Cause of

Action: Promissory Estoppel [Wells Fargo]

Wells Fargo contends that this claim fails because Wells Fargo never made any clear and unambiguous promises to Plaintiffs. Instead, they made invitations to apply for loan assistance, not guaranteed promises of assistance.

Plaintiffs argue that this is a fact question inappropriate for demurrer.

The elements of a claim for promissory estoppel are: (1) a clear promise, (2) reliance, (3) substantial detriment, and (4) damages measured by the extent of the obligation assumed and not performed. (*Moncada v. West Coast Quartz Corp.* (2013) 221 Cal.App.4th 768, 780.) “A promise is an assurance that a person will or will not do something.” (*Granadino v. Wells Fargo Bank, N.A.* (2015) 236 Cal.App.4th 411, 417.)

Here, Plaintiffs sufficiently stated a claim for promissory estoppel. The element at issue is whether Wells Fargo made a promise to Plaintiffs. At the pleadings stage, they did. Plaintiffs allege that Wells Fargo, through a loss mitigation representative, “telephoned Plaintiff Sherry Hackney Cade and orally represented that Wells Fargo would offer Plaintiffs a loan modification on the Second Deed of Trust” and sent a confirmation letter with the same information thereafter. (SAC ¶¶ 47, 48.) At the pleading stage, the Court accepts as true Plaintiffs' allegation that Wells Fargo promised it would offer Plaintiffs a loan modification and later confirmed that promise in writing. Whether the alleged statements instead constituted only invitations to apply presents a factual dispute that cannot be resolved on demurrer.

Accordingly, the court **OVERRULES** the demurrer to the sixth cause of action.

Seventh Cause of

Action: Breach of the Implied Covenant of Good Faith and Fair Dealing [Wells Fargo]

Wells Fargo contends this claim fails since there is no underlying contractual obligation to offer loan assistance to Plaintiffs and the law does not require Wells Fargo to forbear from enforcing the Second Deed of Trust.

Plaintiffs argue that Wells Fargo frustrated Plaintiffs'

right to cure and to obtain the benefits of the loan relationship. However, they request leave to amend this claim.

Plaintiffs concede the present pleading is deficient and request leave to amend. In light of that concession, the demurrer is SUSTAINED.

Eighth Cause of

Action: Unfair Business Practices [Wells Fargo & Clear Recon]

Wells Fargo summarily contends this claim is derivative of the other claims and fails. Clear Recon echoes this contention.

Plaintiffs argue that this claim rests on the unlawful and fraudulent prong due to the wrongful foreclosure (which is adequately plead).

California Business and Professions Code section 17200 prohibits "any unlawful, unfair or fraudulent business act or practice." (Bus. & Prof. Code § 17200; see Clark v. Superior Court (2010) 50 Cal.4th 605, 610.) A business practice is unfair when it offends an established public policy or when the practice is immoral, unethical, oppressive, unscrupulous, or substantially injurious to consumers." (Community Assisting Recovery, Inc. v. Aegis Security Ins. Co. (2001) 92 Cal.App.4th 886, 894.) A business practice is unlawful if it violates another law. (Berryman v. Merit Property Management, Inc. (2007) 152 Cal.App.4th 1544, 1554.) A business practice is fraudulent if "members of the public are likely to be deceived." (See Wang v. Massey Chevrolet (2002) 97 Cal. App. 4th 856, 871.) "A plaintiff alleging unfair business practices . . . must state with reasonable particularity the facts supporting the statutory elements of the violation." (Khoury v. Maly's of California, Inc. (1993) 14 Cal.App.4th 612, 619.)

After reviewing the SAC, this claim fails as it is based on the wrongful foreclosure claim.

Accordingly, the court SUSTAINS the demurrer to the eighth cause of action.

Ninth Cause of

Action: False Promise (Fraud) [Sneed]

The Sneeds contend this claim fails because there are no allegations of damage caused by delay in commencing litigation and the alleged oral and vague promise was made after the trustee's sale (i.e., it was too late to stop the sale).

Plaintiffs argues as to the Sneeds that they sufficiently alleged this claim and justifiable reliance/causation are fact questions for a future stage. However, they alternatively seek leave to amend as to damages.

"The elements of promissory fraud ... are: (1) a promise made regarding a material fact without any intention of performing it; (2) the existence of the intent not to perform at the time the promise was made; (3) intent to deceive or induce the promisee to enter into a transaction; (4) reasonable reliance by the promisee; (5) nonperformance by the party making the promise; and (6) resulting damage to the promise[e]." (Rossberg v. Bank of America, N.A. (2013) 219 Cal.App.4th 1481, 1498.) The claim must be alleged with particularity. (Ibid.)

Here, Plaintiffs have not sufficiently alleged no intention of performance or damages. First, the allegation for no intent to perform is a conclusion. So is the damages claim.

Accordingly, the court SUSTAINS the demurrer to the ninth cause of action.

Tenth Cause of

Action: Injunctive Relief [All Defendants]

Wells Fargo summarily contends this claim is derivative of the other claims and fails.

The Sneeds contend that this claim fails because it is a remedy and not a standalone cause of action. Clear Recon raises the same contention.

Plaintiff argues that the court should not dismiss this claim simply because it is a remedy and requests leave to amend to denominate this as a remedy.

The court accepts Plaintiffs' concession and SUSTAINS the demurrer to the tenth cause of action with leave to amend as a REMEDY only.

Eleventh Cause of

Action: Declaratory Relief [All Defendants]

Wells Fargo summarily contends this claim is derivative of the other claims and fails. Clear Recon makes this same contention.

The Sneeds contend that this claim fails because it is duplicative of all the other causes of action.

Plaintiffs argues as to the Sneeds that there is a present and actual controversy as to who owns the Property.

A plaintiff's declaratory relief complaint must specifically allege that an actual, present controversy exists, and must state the facts of the respective claims concerning the disputed subject matter. (City of Cotati v. Cashman (2002) 29 Cal.4th 69, 79; Connerly v.

Schwarzenegger (2007) 146 Cal.App.4th 739, 746 (Connerly).) A sufficient complaint: (1) sets forth facts showing the existence of an actual controversy relating to the parties' legal rights and duties, and (2) requests the court to adjudge these rights and duties. (Ludgate Ins. Co. v. Lockheed Martin Corp. (2000) 82 Cal.App.4th 592, 606; Qualified

Patients Ass'n v. City of Anaheim (2010) 187 Cal.App.4th 734, 751; see also Travers v. Loudon (1967) 254 Cal.App.2d 926, 931-32 (Travers)

[commenting that declaratory relief may be appropriate for parties with a continuing relationship].) A declaratory relief claim should not be used to determine issues that are already engaged by other causes of action. (Hood v. Superior Court (1995) 33 Cal.App.4th 319, 324.) Declaratory relief is not appropriate to address past wrongs. (SJJC Aviation Services, LLC v. City of San Jose (2017) 12 Cal.App.5th 1043, 1062.)

After reviewing the SAC, the court agrees with Defendants that the declaratory relief claim is improper. Critically, the claim seeks duplicative relief as other claims – determination of who owns the Property. In short, there is nothing separate for the court to declare.

Accordingly, the court SUSTAINS the demurrer to the eleventh cause of action without leave to amend.

Leave to Amend

Leave to amend must

be allowed where there is a reasonable possibility of successful amendment. (See Goodman v. Kennedy

(1976) 18 Cal.3d 335, 349 [court shall not “sustain a demurrer without leave to amend if there is any reasonable possibility that the defect can be cured by amendment”]; Kong v. City of Hawaiian

Gardens Redevelopment Agency (2002) 108 Cal.App.4th 1028, 1037 [“A demurrer should not be sustained without leave to amend if the complaint, liberally construed, can state a cause of action under any theory or if there is a

reasonable possibility the defect can be cured by amendment.”]; Vaccaro v. Kaiman (1998) 63 Cal.App.4th 761, 768 [“When the defect which justifies striking a complaint is capable of cure, the court should allow leave to amend.”].) The burden is on the

complainant to show the Court that a pleading can be amended successfully. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.)

Here, Plaintiff did not offer persuasive authority to support the viability of

the aforementioned defects are reasonably capable to cure as to the first, second, third, eighth, tenth, and eleventh. The court is not inclined to grant leave to amend absent the required showing.

As to the fifth, seventh, ninth causes of action, it appears that they may be curable. However, as this is not the first time for Plaintiffs to fix these issues, the court will grant leave to amend one final time.

CONCLUSION:

For

the foregoing reasons, the Court decides the pending motion as follows:

1. Demurrers

to the first, second, third, fifth, seventh, eighth, ninth, tenth, and eleventh causes of action are SUSTAINED.

2. Demurrers

to the fourth and sixth causes of action are OVERRULED;

3. Plaintiffs

to file their FINAL amended complaint within 21 days of this ruling.

Moving party is to give notice.

IT IS SO ORDERED.

Dated: June 26, 2026 _____ Upinder

S. Kalra

Judge

of the Superior Court

[1]

Wells Fargo also raises the argument that the Plaintiffs rely on the 2023 notice of trustee's sale, which this court already discussed in the previous demurrer. Plaintiffs concede this point in their opposition. As such, the court develops it no further.

[2]

They contend the Second Deed of Trust does not require inclusion of the map book and page of the Property, there are no facts that the individual who executed the assignment lacked authority to do so, it did not require an indorsement, MERS had the right to assign the deed of trust to Wells Fargo, and the foreclosure sale took place less than 365 days after the most recent notice of sale.

[3]

The court rejects this argument. "The deed of trust, moreover, is inseparable from the note it secures, and follows it even without a separate assignment." (Yvanova, supra, 62 Cal.4th at p. 927.)

[4] Likewise,

Johnson v. PNC Mortgage (N.D. Cal.

2015) 80 F.Supp.3d 980, 990, observed that the borrower's injury stems from the default—not the challenged assignment.

[5]

Clear Recon also argue truth of facts which is inappropriate for the demurrer stage.

[6]

This is a common law duty. (*Boschma v. Home Loan Center, Inc.* (2011) 198 Cal.App.4th 230, 250.)

[7]

The court notes Wells Fargo & Clear Recon's objections to the extent Plaintiffs seek to hold them liable for statements made in the family law court proceedings. Wells Fargo's reliance on the litigation privilege is unpersuasive at the pleading stage because the gravamen of the claim is the alleged concealment of material information concerning the loan modification process and foreclosure—the letters and private oral communications on loan modification—not communications made in the course of the family law litigation.

[8]

The alleged concealment concerns affirmative fraudulent conduct independent of Wells Fargo's contractual obligations under the loan documents. Accordingly, at the pleading stage, Sheen does not preclude the claim.